ANNUAL OPERATING BUDGET

Upland Plaza | Salt Lake City, UT

Property	Upland Plaza
Fiscal Year	2023
Submitted By	Redwood Property Management
Submitted	May 18, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$39,496	$37,184	$38,208	-$1,288	-3.3%	$1,005.47
5010 Loss to Lease	$234,446	$245,760	$245,774	$11,328	4.8%	$6,467.74
5020 Vacancy Loss	$351,082	$323,632	$334,885	-$16,197	-4.6%	$8,812.76
5030 Concessions	$443,224	$410,188	$426,227	-$16,997	-3.8%	$11,216.50
5040 Bad Debt	$487,407	$495,743	$526,116	$38,710	7.9%	$13,845.16
5050 Late Fees	$130,723	$137,709	$137,911	$7,188	5.5%	$3,629.25
5060 Utility Reimbursements	$184,639	$189,067	$200,482	$15,843	8.6%	$5,275.84
5070 Parking Income	$114,187	$109,119	$110,833	-$3,353	-2.9%	$2,916.67
5080 Application Fees	$467,995	$479,733	$485,758	$17,762	3.8%	$12,783.09
5090 Pet Rent	$450,218	$437,292	$441,256	-$8,962	-2.0%	$11,612.00
5100 Laundry Income	$150,803	$153,833	$160,012	$9,209	6.1%	$4,210.85
5110 Cable/Internet Revenue	$512,868	$477,712	$498,178	-$14,690	-2.9%	$13,109.95
5120 CAM Reimbursements	$30,349	$30,813	$32,115	$1,766	5.8%	$845.14
5130 Tax Reimbursements	$526,592	$494,476	$506,764	-$19,828	-3.8%	$13,335.89
5140 Insurance Reimbursements	$497,961	$464,274	$487,065	-$10,897	-2.2%	$12,817.49
5150 Percentage Rent	$76,873	$73,748	$78,536	$1,664	2.2%	$2,066.74
5160 Misc. Income	$449,750	$437,586	$462,067	$12,317	2.7%	$12,159.67
5170 Payroll - Management	$100,927	$94,948	$96,887	-$4,039	-4.0%	$2,549.67
5180 Payroll - Leasing	$69,953	$73,176	$74,797	$4,844	6.9%	$1,968.35
5190 Payroll - Maintenance	$347,012	$320,916	$325,164	-$21,847	-6.3%	$8,556.96
5200 Payroll Taxes & Benefits	$161,535	$151,800	$162,112	$576	0.4%	$4,266.09
5210 Repairs - Plumbing	$116,459	$123,319	$131,870	$15,411	13.2%	$3,470.26
5220 Repairs - HVAC	$161,176	$153,836	$162,276	$1,100	0.7%	$4,270.41
5230 Repairs - Electrical	$393,001	$408,857	$423,856	$30,855	7.9%	$11,154.10
5240 Repairs - Appliances	$108,371	$105,765	$108,517	$146	0.1%	$2,855.72

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$29,811	$31,376	$32,778	$2,967	10.0%	$862.59
5430 Legal & Professional	$135,676	$135,645	$143,711	$8,035	5.9%	$3,781.86
5440 Accounting & Audit	$265,046	$268,046	$286,334	$21,288	8.0%	$7,535.11
5450 Licenses & Permits	$119,101	$121,047	$123,473	$4,372	3.7%	$3,249.30
5460 Management Fee	$357,382	$336,271	$347,558	-$9,823	-2.7%	$9,146.27
5470 Property Insurance	$412,955	$392,378	$396,291	-$16,664	-4.0%	$10,428.71
5480 Real Estate Taxes	$275,550	$294,356	$295,707	$20,157	7.3%	$7,781.76
5490 Asset Management Fee	$503,144	$520,928	$550,634	$47,490	9.4%	$14,490.36
5500 Replacement Reserves	$190,173	$178,633	$180,630	-$9,543	-5.0%	$4,753.41
5510 Roof Repairs	$441,054	$417,768	$420,412	-$20,642	-4.7%	$11,063.48
5520 Parking Lot Repairs	$489,221	$496,663	$525,440	$36,219	7.4%	$13,827.38
5530 Signage	$335,891	$321,748	$326,163	-$9,728	-2.9%	$8,583.23
5540 Tenant Improvements	$446,411	$421,809	$444,257	-$2,154	-0.5%	$11,690.98
5550 Leasing Commissions	$280,423	$268,144	$273,143	-$7,279	-2.6%	$7,187.98
5000 Gross Potential Rent	$363,945	$383,678	$390,063	$26,118	7.2%	$10,264.83
5010 Loss to Lease	$83,486	$78,291	$82,124	-$1,362	-1.6%	$2,161.17
5020 Vacancy Loss	$327,059	$305,670	$309,325	-$17,734	-5.4%	$8,140.13
5030 Concessions	$112,092	$111,672	$113,904	$1,811	1.6%	$2,997.47
5040 Bad Debt	$274,925	$274,161	$288,050	$13,124	4.8%	$7,580.26
5050 Late Fees	$389,742	$417,268	$437,479	$47,737	12.2%	$11,512.61
5060 Utility Reimbursements	$138,334	$148,416	$153,407	$15,072	10.9%	$4,037.02
5070 Parking Income	$261,585	$257,444	$263,460	$1,875	0.7%	$6,933.15
5080 Application Fees	$303,489	$289,170	$289,244	-$14,245	-4.7%	$7,611.68
5090 Pet Rent	$75,704	$79,812	$83,214	$7,509	9.9%	$2,189.83
5100 Laundry Income	$167,395	$160,759	$164,940	-$2,454	-1.5%	$4,340.54
5110 Cable/Internet Revenue	$519,854	$497,127	$513,965	-$5,888	-1.1%	$13,525.40
5120 CAM Reimbursements	$162,382	$162,522	$172,580	$10,198	6.3%	$4,541.57
5130 Tax Reimbursements	$467,616	$497,033	$509,652	$42,036	9.0%	$13,411.88
5140 Insurance Reimbursements	$99,966	$107,682	$109,113	$9,147	9.1%	$2,871.38
5150 Percentage Rent	$541,280	$521,107	$532,791	-$8,489	-1.6%	$14,020.82
5160 Misc. Income	$431,318	$397,443	$423,406	-$7,912	-1.8%	$11,142.26
5170 Payroll - Management	$179,248	$165,800	$167,560	-$11,688	-6.5%	$4,409.48
5180 Payroll - Leasing	$230,561	$233,163	$242,388	$11,827	5.1%	$6,378.63
5190 Payroll - Maintenance	$168,015	$159,202	$164,014	-$4,000	-2.4%	$4,316.17
5200 Payroll Taxes & Benefits	$99,153	$91,697	$96,230	-$2,923	-2.9%	$2,532.37
5210 Repairs - Plumbing	$494,376	$506,447	$529,406	$35,030	7.1%	$13,931.73
5220 Repairs - HVAC	$114,679	$120,784	$128,021	$13,342	11.6%	$3,368.97
5230 Repairs - Electrical	$306,386	$287,152	$293,380	-$13,006	-4.2%	$7,720.51
5240 Repairs - Appliances	$344,860	$333,823	$338,720	-$6,140	-1.8%	$8,913.67
5250 Painting & Decorating	$166,515	$166,860	$169,866	$3,351	2.0%	$4,470.17
5260 Flooring	$549,574	$543,113	$571,156	$21,582	3.9%	$15,030.43
5270 Make-Ready / Turnover	$282,333	$303,499	$322,875	$40,542	14.4%	$8,496.72

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Operating Performance

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 3 years and in-place rents average $22 per square foot, full service gross. The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 6.22x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Service requests are tracked through a work-order system with an average completion time of 15 hours. Weighted average lease term remaining is 8 years and in-place rents average $22 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Weighted average lease term remaining is 10 years and in-place rents average $22 per square foot, full service gross. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 7 hours. The building features a renovated lobby, structured parking at a ratio of 22 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

Financial Analysis

Effective gross income for the trailing period was $21,000, representing a 8.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. Operating expenses totaled $132,000 or approximately 18.13 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 8 years and in-place rents average $22 per square foot, full service gross.

The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $126,000, representing a 5.5% increase over the prior year. Weighted average lease term remaining is 6 years and in-place rents average $22 per square foot, full service gross. Operating expenses totaled $266,000 or approximately 11.65 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 5.71% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 95.3% of billed charges, with bad debt of 3.1% of gross potential income.

Operating Performance

The going-in capitalization rate of 7.17% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $267,000 or approximately 37.66 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.70x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 7.14% reflects the in-place income and the stabilized occupancy assumption.

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Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$379,389	$350,806	$351,712	-$27,677	-7.3%	$9,255.58
5250 Painting & Decorating	$106,566	$112,886	$115,700	$9,133	8.6%	$3,044.73
5260 Flooring	$112,419	$104,378	$108,982	-$3,437	-3.1%	$2,867.94
5270 Make-Ready / Turnover	$468,935	$448,236	$477,782	$8,847	1.9%	$12,573.20
5280 Landscaping Contract	$105,296	$107,518	$114,660	$9,364	8.9%	$3,017.36
5290 Snow Removal	$139,008	$149,076	$154,637	$15,630	11.2%	$4,069.40
5300 Janitorial	$30,860	$29,139	$30,812	-$48	-0.2%	$810.85
5310 Pest Control	$158,389	$166,120	$169,594	$11,205	7.1%	$4,462.99
5320 Trash Removal	$396,329	$426,073	$435,809	$39,479	10.0%	$11,468.65
5330 Elevator Contract	$308,941	$310,617	$330,555	$21,614	7.0%	$8,698.83
5340 Fire & Life Safety	$155,211	$148,245	$158,018	$2,807	1.8%	$4,158.37
5350 Security	$210,898	$215,428	$229,205	$18,307	8.7%	$6,031.70
5360 Electricity - Common	$307,856	$306,271	$312,824	$4,968	1.6%	$8,232.21
5370 Gas - Common	$139,708	$150,378	$152,168	$12,459	8.9%	$4,004.41
5380 Water & Sewer	$399,315	$403,035	$412,025	$12,709	3.2%	$10,842.76
5390 Telephone/Internet	$304,813	$293,588	$297,603	-$7,209	-2.4%	$7,831.66
5400 Advertising	$512,114	$490,099	$506,711	-$5,403	-1.1%	$13,334.49
5410 Resident Events	$457,622	$477,876	$502,200	$44,577	9.7%	$13,215.78
5420 Office Supplies	$176,607	$177,257	$179,694	$3,087	1.7%	$4,728.78
5430 Legal & Professional	$137,582	$139,123	$144,454	$6,873	5.0%	$3,801.43
5440 Accounting & Audit	$296,372	$302,213	$303,411	$7,039	2.4%	$7,984.49
5450 Licenses & Permits	$500,240	$500,813	$525,802	$25,561	5.1%	$13,836.88
5460 Management Fee	$92,972	$87,258	$88,535	-$4,437	-4.8%	$2,329.86
5470 Property Insurance	$425,567	$457,533	$484,484	$58,917	13.8%	$12,749.59
5480 Real Estate Taxes	$539,674	$509,541	$513,548	-$26,126	-4.8%	$13,514.42
5490 Asset Management Fee	$530,047	$534,658	$553,347	$23,299	4.4%	$14,561.75
5500 Replacement Reserves	$516,827	$484,371	$496,992	-$19,835	-3.8%	$13,078.74
5510 Roof Repairs	$221,374	$206,238	$215,831	-$5,543	-2.5%	$5,679.76
5520 Parking Lot Repairs	$539,872	$525,617	$562,376	$22,504	4.2%	$14,799.36
5530 Signage	$202,907	$191,851	$202,434	-$474	-0.2%	$5,327.20
5540 Tenant Improvements	$280,649	$267,329	$272,897	-$7,752	-2.8%	$7,181.49
5550 Leasing Commissions	$476,834	$454,331	$478,085	$1,251	0.3%	$12,581.18
5000 Gross Potential Rent	$318,986	$316,452	$332,424	$13,438	4.2%	$8,748.00
5010 Loss to Lease	$231,564	$244,452	$248,335	$16,771	7.2%	$6,535.13
5020 Vacancy Loss	$175,990	$170,497	$180,495	$4,504	2.6%	$4,749.86
5030 Concessions	$240,621	$246,801	$256,178	$15,557	6.5%	$6,741.54
5040 Bad Debt	$525,141	$529,575	$561,622	$36,482	6.9%	$14,779.54
5050 Late Fees	$445,629	$431,297	$436,571	-$9,058	-2.0%	$11,488.71
5060 Utility Reimbursements	$421,428	$393,317	$395,022	-$26,407	-6.3%	$10,395.30
5070 Parking Income	$233,298	$219,732	$220,822	-$12,476	-5.3%	$5,811.10

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Operating Performance

Effective gross income for the trailing period was $256,000, representing a 8.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Operating expenses totaled $26,000 or approximately 6.25 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.03x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 12 years and in-place rents average $22 per square foot, full service gross.

Operating expenses totaled $17,000 or approximately 38.95 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 11 years and in-place rents average $22 per square foot, full service gross. Debt service coverage ratio was 8.05x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 48 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Effective gross income for the trailing period was $51,000, representing a 8.6% increase over the prior year.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Weighted average lease term remaining is 8 years and in-place rents average $22 per square foot, full service gross. Service requests are tracked through a work-order system with an average completion time of 14 hours. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 91.5% of billed charges, with bad debt of 3.3% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 44 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

The building features a renovated lobby, structured parking at a ratio of 24 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 10 years and in-place rents average $22 per square foot, full service gross. The going-in capitalization rate of 7.95% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Effective gross income for the trailing period was $137,000, representing a 4.5% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.09x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.2% of billed charges, with bad debt of 3.2% of gross potential income. Weighted average lease term remaining is 5 years and in-place rents average $22 per square foot, full service gross.

Weighted average lease term remaining is 11 years and in-place rents average $22 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 37 hours.

Financial Analysis

Debt service coverage ratio was 6.12x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $74,000 or approximately 15.87 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 9 years and in-place rents average $22 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center.

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5140 Insurance Reimbursements	$434,920	$411,113	$414,680	-$20,240	-4.7%	$10,912.63
5150 Percentage Rent	$93,530	$88,416	$90,093	-$3,437	-3.7%	$2,370.87
5160 Misc. Income	$297,569	$315,171	$333,621	$36,052	12.1%	$8,779.51
5170 Payroll - Management	$485,862	$467,256	$490,774	$4,912	1.0%	$12,915.11
5180 Payroll - Leasing	$273,511	$253,279	$269,880	-$3,632	-1.3%	$7,102.10
5190 Payroll - Maintenance	$343,194	$319,289	$328,579	-$14,614	-4.3%	$8,646.83
5200 Payroll Taxes & Benefits	$262,856	$252,402	$265,418	$2,561	1.0%	$6,984.67
5210 Repairs - Plumbing	$466,603	$466,129	$497,895	$31,292	6.7%	$13,102.51
5220 Repairs - HVAC	$78,241	$74,804	$76,147	-$2,094	-2.7%	$2,003.86
5230 Repairs - Electrical	$430,537	$421,459	$448,168	$17,631	4.1%	$11,793.89
5240 Repairs - Appliances	$253,559	$236,669	$245,326	-$8,234	-3.2%	$6,455.93
5250 Painting & Decorating	$263,378	$277,232	$282,516	$19,138	7.3%	$7,434.63
5260 Flooring	$227,602	$243,275	$246,023	$18,421	8.1%	$6,474.30
5270 Make-Ready / Turnover	$354,408	$358,301	$364,661	$10,253	2.9%	$9,596.34
5280 Landscaping Contract	$453,047	$456,372	$482,233	$29,185	6.4%	$12,690.34
5290 Snow Removal	$302,463	$323,977	$328,826	$26,363	8.7%	$8,653.32
5300 Janitorial	$338,360	$353,449	$369,218	$30,857	9.1%	$9,716.25
5310 Pest Control	$105,272	$98,408	$104,275	-$997	-0.9%	$2,744.08
5320 Trash Removal	$28,043	$28,693	$28,819	$776	2.8%	$758.39
5330 Elevator Contract	$315,232	$306,302	$317,007	$1,775	0.6%	$8,342.29
5340 Fire & Life Safety	$264,238	$284,686	$295,054	$30,816	11.7%	$7,764.58
5350 Security	$290,215	$276,487	$277,273	-$12,942	-4.5%	$7,296.66
5360 Electricity - Common	$168,039	$178,231	$189,979	$21,940	13.1%	$4,999.45
5370 Gas - Common	$303,211	$286,212	$290,839	-$12,372	-4.1%	$7,653.65
5380 Water & Sewer	$246,124	$255,371	$262,721	$16,596	6.7%	$6,913.70
5390 Telephone/Internet	$327,514	$342,142	$349,796	$22,283	6.8%	$9,205.16
5400 Advertising	$452,447	$476,840	$508,831	$56,384	12.5%	$13,390.29
5410 Resident Events	$157,212	$161,967	$172,681	$15,469	9.8%	$4,544.24
5420 Office Supplies	$61,754	$64,950	$66,792	$5,038	8.2%	$1,757.68
5430 Legal & Professional	$286,442	$294,604	$314,563	$28,121	9.8%	$8,277.96
5440 Accounting & Audit	$231,639	$240,161	$244,607	$12,968	5.6%	$6,437.04
5450 Licenses & Permits	$436,191	$429,156	$444,201	$8,010	1.8%	$11,689.50
5460 Management Fee	$311,247	$329,084	$345,886	$34,639	11.1%	$9,102.27
5470 Property Insurance	$450,336	$475,330	$506,668	$56,332	12.5%	$13,333.38
5480 Real Estate Taxes	$516,004	$554,242	$589,244	$73,241	14.2%	$15,506.43
5490 Asset Management Fee	$199,715	$189,629	$192,167	-$7,548	-3.8%	$5,057.04
5500 Replacement Reserves	$495,565	$530,588	$548,741	$53,176	10.7%	$14,440.55
5510 Roof Repairs	$545,593	$586,532	$587,884	$42,291	7.8%	$15,470.63
5520 Parking Lot Repairs	$309,718	$286,645	$298,567	-$11,151	-3.6%	$7,857.02
5530 Signage	$138,918	$142,215	$150,296	$11,378	8.2%	$3,955.16
5540 Tenant Improvements	$432,256	$429,945	$451,875	$19,619	4.5%	$11,891.46
5550 Leasing Commissions	$188,490	$180,999	$192,941	$4,451	2.4%	$5,077.39

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Operating expenses totaled $182,000 or approximately 8.60 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 5.55% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Debt service coverage ratio was 7.53x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 40 per 1,000 square feet, and a tenant lounge with fitness center.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Weighted average lease term remaining is 9 years and in-place rents average $22 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Service requests are tracked through a work-order system with an average completion time of 12 hours.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 95.3% of billed charges, with bad debt of 7.6% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members.

Income and Expense Review

Operating expenses totaled $394,000 or approximately 23.36 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.24x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. The building features a renovated lobby, structured parking at a ratio of 44 per 1,000 square feet, and a tenant lounge with fitness center.

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $277,000, representing a 9.4% increase over the prior year.

Management Commentary

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. Weighted average lease term remaining is 8 years and in-place rents average $22 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Weighted average lease term remaining is 4 years and in-place rents average $22 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Collections for the period were 93.8% of billed charges, with bad debt of 6.6% of gross potential income.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.14x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 8.02% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5520 Parking Lot Repairs	$55,495	$52,206	$54,056	-$1,439	-2.6%	$1,422.51
5530 Signage	$308,918	$288,039	$303,721	-$5,197	-1.7%	$7,992.66
5540 Tenant Improvements	$87,420	$89,526	$93,915	$6,496	7.4%	$2,471.46
5550 Leasing Commissions	$342,866	$362,899	$363,537	$20,672	6.0%	$9,566.77
5000 Gross Potential Rent	$231,208	$242,445	$252,087	$20,879	9.0%	$6,633.87
5010 Loss to Lease	$513,985	$529,830	$533,730	$19,745	3.8%	$14,045.52
5020 Vacancy Loss	$86,452	$83,332	$86,447	-$5	-0.0%	$2,274.93
5030 Concessions	$404,612	$419,883	$437,982	$33,370	8.2%	$11,525.84
5040 Bad Debt	$181,043	$195,051	$196,884	$15,841	8.8%	$5,181.17
5050 Late Fees	$133,293	$126,681	$132,867	-$426	-0.3%	$3,496.51
5060 Utility Reimbursements	$357,612	$345,949	$355,523	-$2,089	-0.6%	$9,355.87
5070 Parking Income	$246,794	$264,235	$268,876	$22,082	8.9%	$7,075.70
5080 Application Fees	$314,639	$326,900	$347,319	$32,680	10.4%	$9,139.96
5090 Pet Rent	$76,544	$80,090	$85,668	$9,123	11.9%	$2,254.41
5100 Laundry Income	$433,392	$404,176	$425,583	-$7,808	-1.8%	$11,199.56
5110 Cable/Internet Revenue	$289,328	$287,670	$299,038	$9,710	3.4%	$7,869.41
5120 CAM Reimbursements	$30,561	$29,095	$29,894	-$667	-2.2%	$786.67
5130 Tax Reimbursements	$236,118	$218,383	$229,233	-$6,886	-2.9%	$6,032.44
5140 Insurance Reimbursements	$277,463	$288,791	$294,611	$17,148	6.2%	$7,752.91
5150 Percentage Rent	$407,344	$375,106	$378,557	-$28,786	-7.1%	$9,962.03
5160 Misc. Income	$296,994	$290,778	$304,855	$7,861	2.6%	$8,022.49
5170 Payroll - Management	$314,862	$302,695	$313,483	-$1,379	-0.4%	$8,249.56
5180 Payroll - Leasing	$147,954	$148,006	$152,622	$4,668	3.2%	$4,016.37
5190 Payroll - Maintenance	$218,259	$234,161	$237,902	$19,643	9.0%	$6,260.58
5200 Payroll Taxes & Benefits	$443,889	$467,067	$467,196	$23,307	5.3%	$12,294.62
5210 Repairs - Plumbing	$53,585	$54,941	$55,129	$1,544	2.9%	$1,450.76
5220 Repairs - HVAC	$76,744	$82,500	$88,020	$11,275	14.7%	$2,316.31
5230 Repairs - Electrical	$398,636	$405,037	$412,793	$14,157	3.6%	$10,862.98
5240 Repairs - Appliances	$37,243	$40,117	$40,613	$3,370	9.0%	$1,068.75
5250 Painting & Decorating	$512,196	$476,560	$504,316	-$7,880	-1.5%	$13,271.47
5260 Flooring	$479,273	$462,301	$490,464	$11,192	2.3%	$12,906.95
5270 Make-Ready / Turnover	$76,325	$77,486	$78,976	$2,651	3.5%	$2,078.33
5280 Landscaping Contract	$235,577	$225,599	$230,646	-$4,931	-2.1%	$6,069.62
5290 Snow Removal	$353,070	$354,513	$368,947	$15,877	4.5%	$9,709.14
5300 Janitorial	$82,513	$77,081	$79,438	-$3,076	-3.7%	$2,090.46
5310 Pest Control	$321,122	$321,939	$338,554	$17,432	5.4%	$8,909.32
5320 Trash Removal	$192,856	$200,698	$204,896	$12,040	6.2%	$5,392.01
5330 Elevator Contract	$548,810	$535,556	$549,967	$1,157	0.2%	$14,472.83
5340 Fire & Life Safety	$276,583	$266,984	$274,307	-$2,276	-0.8%	$7,218.60
5350 Security	$528,468	$566,103	$582,347	$53,880	10.2%	$15,324.92
5360 Electricity - Common	$542,861	$550,536	$586,219	$43,357	8.0%	$15,426.81

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Effective gross income for the trailing period was $82,000, representing a 5.2% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $216,000 or approximately 23.85 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $459,000, representing a 7.6% increase over the prior year. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.40x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts.

Property Operations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 26 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day.

Weighted average lease term remaining is 11 years and in-place rents average $22 per square foot, full service gross. Collections for the period were 91.6% of billed charges, with bad debt of 4.0% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 40 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $102,000 or approximately 31.26 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $364,000, representing a 9.6% increase over the prior year. Debt service coverage ratio was 6.99x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $306,000, representing a 3.0% increase over the prior year. The going-in capitalization rate of 7.35% reflects the in-place income and the stabilized occupancy assumption. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 13 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day.

Service requests are tracked through a work-order system with an average completion time of 37 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. The building features a renovated lobby, structured parking at a ratio of 28 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Effective gross income for the trailing period was $354,000, representing a 8.3% increase over the prior year. Operating expenses totaled $271,000 or approximately 35.21 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period.

Effective gross income for the trailing period was $272,000, representing a 12.4% increase over the prior year. Operating expenses totaled $79,000 or approximately 44.34 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5370 Gas - Common	$276,126	$255,957	$261,664	-$14,462	-5.2%	$6,885.89
5380 Water & Sewer	$60,479	$64,015	$66,185	$5,706	9.4%	$1,741.72
5390 Telephone/Internet	$94,404	$94,960	$99,663	$5,259	5.6%	$2,622.72
5400 Advertising	$366,330	$393,180	$407,027	$40,697	11.1%	$10,711.25
5410 Resident Events	$483,672	$515,215	$547,140	$63,468	13.1%	$14,398.43
5420 Office Supplies	$423,636	$434,873	$450,417	$26,781	6.3%	$11,853.07
5430 Legal & Professional	$454,326	$436,965	$463,373	$9,046	2.0%	$12,194.02
5440 Accounting & Audit	$183,752	$169,901	$178,246	-$5,507	-3.0%	$4,690.67
5450 Licenses & Permits	$486,322	$454,197	$460,177	-$26,145	-5.4%	$12,109.93
5460 Management Fee	$240,684	$250,634	$252,460	$11,776	4.9%	$6,643.69
5470 Property Insurance	$133,548	$141,247	$144,656	$11,108	8.3%	$3,806.73
5480 Real Estate Taxes	$223,764	$238,803	$251,152	$27,389	12.2%	$6,609.27
5490 Asset Management Fee	$373,010	$348,662	$351,733	-$21,277	-5.7%	$9,256.13
5500 Replacement Reserves	$464,617	$466,592	$472,786	$8,169	1.8%	$12,441.73
5510 Roof Repairs	$252,935	$257,715	$274,417	$21,482	8.5%	$7,221.49
5520 Parking Lot Repairs	$174,437	$184,613	$189,856	$15,418	8.8%	$4,996.21
5530 Signage	$118,139	$115,798	$117,630	-$508	-0.4%	$3,095.54
5540 Tenant Improvements	$92,401	$93,738	$100,122	$7,721	8.4%	$2,634.79
5550 Leasing Commissions	$48,908	$50,937	$54,481	$5,573	11.4%	$1,433.71
5000 Gross Potential Rent	$463,679	$437,915	$461,987	-$1,693	-0.4%	$12,157.55
5010 Loss to Lease	$193,929	$181,128	$187,505	-$6,424	-3.3%	$4,934.33
5020 Vacancy Loss	$537,325	$527,200	$532,028	-$5,296	-1.0%	$14,000.74
5030 Concessions	$78,106	$72,376	$75,818	-$2,288	-2.9%	$1,995.21
5040 Bad Debt	$381,380	$372,197	$394,016	$12,636	3.3%	$10,368.85
5050 Late Fees	$51,862	$54,090	$54,122	$2,260	4.4%	$1,424.26
5060 Utility Reimbursements	$40,312	$40,781	$42,694	$2,382	5.9%	$1,123.54
5070 Parking Income	$282,729	$295,057	$306,185	$23,455	8.3%	$8,057.49
5080 Application Fees	$297,380	$280,156	$287,604	-$9,776	-3.3%	$7,568.52
5090 Pet Rent	$476,936	$450,558	$476,801	-$136	-0.0%	$12,547.39
5100 Laundry Income	$252,799	$254,594	$263,410	$10,611	4.2%	$6,931.83
5110 Cable/Internet Revenue	$421,337	$438,538	$460,862	$39,525	9.4%	$12,127.94
5120 CAM Reimbursements	$76,024	$79,265	$81,981	$5,957	7.8%	$2,157.40
5130 Tax Reimbursements	$335,773	$316,427	$332,371	-$3,402	-1.0%	$8,746.61
5140 Insurance Reimbursements	$99,232	$98,721	$100,112	$880	0.9%	$2,634.52
5150 Percentage Rent	$190,179	$187,293	$189,856	-$323	-0.2%	$4,996.21
5160 Misc. Income	$323,434	$297,998	$305,762	-$17,673	-5.5%	$8,046.36
5170 Payroll - Management	$356,603	$375,859	$381,100	$24,497	6.9%	$10,028.94
5180 Payroll - Leasing	$425,498	$397,577	$401,348	-$24,150	-5.7%	$10,561.78
5190 Payroll - Maintenance	$126,522	$125,850	$133,559	$7,037	5.6%	$3,514.72
5200 Payroll Taxes & Benefits	$374,482	$367,803	$378,298	$3,817	1.0%	$9,955.22
5210 Repairs - Plumbing	$79,298	$74,566	$79,008	-$290	-0.4%	$2,079.16

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Summary and Notes

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. The going-in capitalization rate of 7.12% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $328,000 or approximately 9.81 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.55x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Effective gross income for the trailing period was $10,000, representing a 3.6% increase over the prior year. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 41 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 15 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 6 years and in-place rents average $22 per square foot, full service gross. Collections for the period were 95.0% of billed charges, with bad debt of 3.1% of gross potential income.

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